J.P.Morgan

Asia Pacific Equity Research
31 July 2026

LG Electronics

2Q26 OP beat; positive CDU business progress vs. immature robotics outlook; maintain N

Neutral

066570.KS, 066570 KS
Price (30 Jul 26):W147,500
Price Target (Jun-27):W190,000

Technology - Semiconductors

Jay Kwon AC
(82-2) 758-5725
jay.h.kwon@jpmorgan.com
J.P. Morgan Securities (Far East) Limited, Seoul Branch

Sangsik Lee
(82-2) 758 5146
sangsik.lee@jpmorgan.com
J.P. Morgan Securities (Far East) Limited, Seoul Branch

Neelay Y Kamath
(91-22) 6157 3764
neelay.kamath@jpmchase.com
J.P. Morgan India Private Limited

Following the 2Q26 headline beat (link), management guided for an above-seasonal 3Q outlook, helped by prudent cost control at the MS and HS divisions, in our view. LGE is in a transitional period of pivoting from a B2C-centric business portfolio to an AIDC CDU/robotics manufacturer, in our view, with management highlighting NVDA certification (link) and mass-production of actuators in 2H26. The company disclosed W600bn worth of CDU order wins in 1H26, with the amount likely to reach several trillion won by year-end. Between CDU and robotics, we continue to take a conservative stance on the robotics business opportunity, given intensifying market competition and a lack of tangible business strategy. Given the downward slope in earnings in 2H26, as well as a limited robotics business opportunity, we advise investors to stay on the sidelines.

- **2Q26 earnings beat thanks to tariff refund.** LGE reported an earnings beat despite geopolitical uncertainty, with OP of W1.58tn on sales of W23.8tn (OPM : 6.6%), driven mainly by: (1) HS sales growing 7% Y/Y, with OPM at 9.7% (both above original guidance of mid-single-digit % sales growth/OPM), largely aided by LGE's two-track strategy, as well as reciprocal tariff refunds (one-off gain net of expense: W300bn, per management); and (2) MS reporting mid-teens % y-y sales growth, coupled with a mid-single-digit % OPM (vs. JPMe: 16% Y-Y and 0% OPM), on global sporting event demand. VS was better than feared, recording mid-single-digit % Y/Y sales growth, helped by continued stable growth of the infotainment business, with profitability improving due to operational efficiency. On the other hand, ES reported low-single-digit % sales growth and a high-single-digit OPM, with profitability declining YoY due to higher logistics cost. Management emphasized completion of AI DC validation toward NVDA for its 600kW CDU (link) and disclosed W600bn worth of order wins in 1H26, projected to grow to several trillions by year-end. On the robotics front, management reiterated building a robotics data factory in 2H26, with production of initial actuators under way following the completion of pilot lines.
- **3Q26 earnings outlook and CDU business as the next growth engine.** For 3Q, management guides to an above-seasonal outlook of low-teens % y-y growth with a mid-single-digit % OPM, helped by prudent cost control at the MS division (BEP margin guidance following labor restructuring and WebOS) and the VS division (high-single-digit % OPM guidance from strong order booking). Management expects the HS division to post at the high end of high-single-digit % sales growth from continued two-track and broadening subscription business with a mid-single-digit % margin. On the ES division, guidance remained conservative, at mid-single-digit % y-y top-line growth and a mid-single-digit % OPM, due mainly due to an investment burden on the CDU and robotics business. We maintain our positive view on LGE's CDU business acting as the next growth engine, more so than robotics. Management guides that the W600bn order backlog is not inclusive of big tech companies, and we expect additional order wins in 2H26E to act as a positive growth driver for the ES division in 2027 and into 2028.
- **Share price outlook.** LGE's share price performance has been volatile YTD

See page 7 for analyst certification and important disclosures, including non-US analyst disclosures.

(+60% vs. LGIT/LGD : +55%/-28% vs. KOSPI: +33%), mainly on robotics business initiative expectations. However, given the lingering geopolitical risks and heavy profit-taking after an overheated AI & robotics rally, the stock has corrected -61% from its peak on 1 June (vs. KOSPI -36%). In the near term, we expect the debate to shift from robotics to the CDU business acting as the next growth engine, as well as MS margin normalization. On LGE's robotics side, while initial production of actuators is under way, limited business visibility and distant major orders suggest it is too early to price in as an emerging business. Therefore, we remain Neutral on the stock and recommend investors wait on the sidelines for a better entry point.

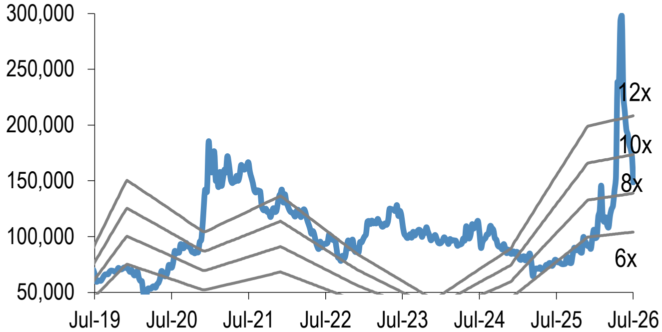
Table 1: LGE 2Q26 earnings comparison

Won in billions	2Q25	1Q26	2Q26 Actual	2Q26 JPMe	Diff. (%)	Q/Q (%)	Y/Y (%)
Sales	**20,735**	**23,727**	**23,827**	**22,594**	**5.5**	***0.4***	***14.9***
Home Appliance Solution	6,597	6,943	7,076	6,862	3.1	*1.9*	*7.2*
Eco Solution	2,644	2,822	2,726	2,703	0.9	*-3.4*	*3.1*
Media Entertainment Solution	4,393	5,169	5,115	4,905	4.3	*-1.1*	*16.4*
Vehicle components Solution	2,849	3,064	3,026	3,069	-1.4	*-1.3*	*6.2*
LG Innotek sales	3,796	5,424	5,419	4,756	13.9	*-0.1*	*42.8*
Others	455	304	465	300	55.1	*53.2*	*2.3*
Operating profit	**639**	**1,674**	**1,579**	**1,074**	**47.0**	***-6***	***147***
Margin (%)	*3.1*	*7.1*	*6.6*	*4.8*			
Home Appliance Solution	438	570	686	425	61.2	*20*	*56*
Margin (%)	*6.6*	*8.2*	*9.7*	*6.2*			
Eco Solution	251	249	236	230	2.6	*-5*	*-6*
Margin (%)	*9.5*	*8.8*	*8.6*	*8.5*			
Media Entertainment Solution	-192	372	219	2	9,262.3	*-41*	*na*
Margin (%)	*-4.4*	*7.2*	*4.3*	*0.0*			
Vehicle Components	126	212	191	246	-22.1	*-10*	*52*
Margin (%)	*4.4*	*6.9*	*6.3*	*8.0*			
LG Innotek	16	298	252	166	52.0	*-15*	*1,506*
Margin (%)	*0.4*	*5.5*	*4.7*	*3.5*			
Others	0	-26	-5	5	*na*	*na*	*na*
Recurring profit	**762**	**1,401**	**1,239**	**854**	n.a	***-11.5***	***62.7***
Tax	151	396	458	226	n.a	*15.7*	*203.4*
Net profit	**605**	**816**	**668**	**464**	n.a	*-18.1*	*10.5*

Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 1: LGE – 12M forward P/E bands

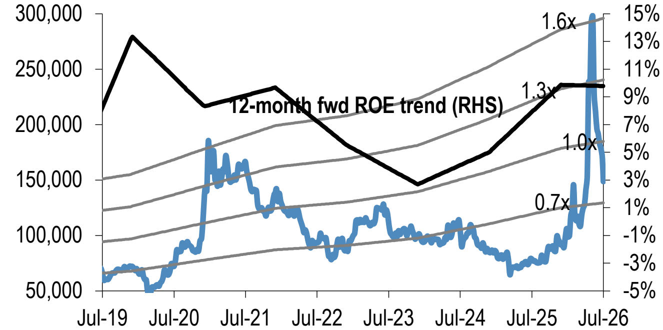
Won



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 2: LGE – 12M forward P/BV and ROE

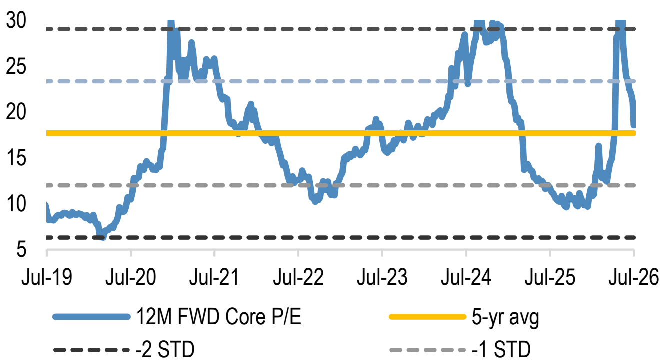
Won, %



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 3: LGE – 12M forward core P/E multiple trend

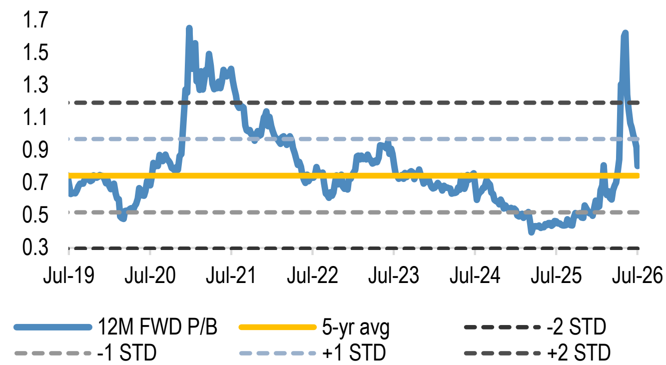
x



Source: Bloomberg Finance L.P., J.P. Morgan estimates

Figure 4: LGE – 12M forward P/BV multiple trend

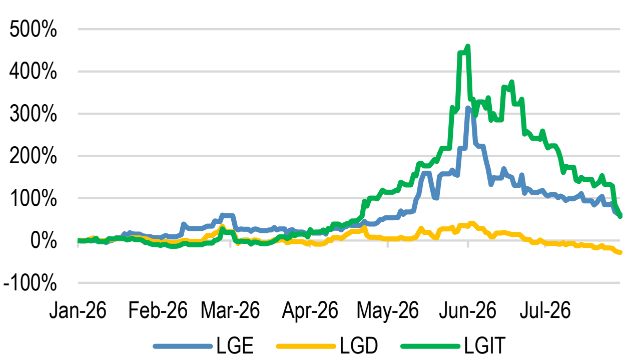
x



Source: Bloomberg Finance L.P., J.P. Morgan estimates

Figure 5: LGE vs. subsidiaries – YTD performance

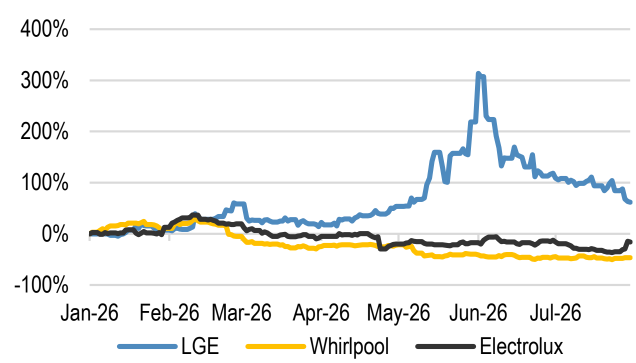
%



Source: Bloomberg Finance L.P. Note: Past results are not an indicator of future performance.

Figure 6: LGE vs. H&A peers – YTD performance

%



Source: Bloomberg Finance L.P. Note: Past results are not an indicator of future performance.

2Q26 earnings call recap – Our summary

Q. [Corporate] Following news flow on NVIDIA CEO meeting LG management, any details on ongoing collaboration with NVIDIA? What is the roadmap outlook?

A. In the robotics sector, LGE is pursuing a joint project aimed at combining its robot hardware technology with Nvidia's physical AI technology stack. By collaborating from the proof-of-concept stage, the project is targeted at robot manufacturing up to actual application. LGE is focused on advancing robot foundation models and developing simulation and verification platforms. In the AI datacenter, LGE is collaborating on the development of advanced high-density cooling technologies (Coolant Distribution Unit). The company's models of CDU received Nvidia certification, marking a meaningful milestone. For the mobility sector, the engineering teams of both companies have begun to develop an AI-based software vehicle platform. Currently, practical work is under way, and companies are conducting reviews of next-generation high-performance computing platforms.

Q. [HS] Any expectations of freight rates rising in the near term? Outlook for logistics costs for 2H26E?

A. SCFI rates have been trending higher due to geopolitical tensions. With more carriers entering the market in 2H26 and global shipping demand likely to moderate after the peak season, we will continue to renegotiate terms with carriers by leveraging large-scale volume and long-standing relationships. LGE is improving to further optimize operations to minimize logistics costs. LGE believes freight rates could peak in 3Q26, and easing market conditions could drive rates back to prior-year levels.

Q. [Robotics] Any color on commercialization of actuators? Any guidance on visibility into earning recognition and scope of partnership?

A. The 1H26 actuator pilot line has been completed and is now focused on quality testing and automation. In partnership, LGE signed an MOU in June and is considering more collaborative efforts. LGE aims to become a provider of customized solutions in robotics, not only a components provider. By integrating data platforms and AI agents, LGE targets to deliver physical AI solutions. In the newly established Robotics Business Center, LGE plans on collaborating with not only big tech companies like NVIDIA, but also with leading Chinese robotics players. Last, LGE seeks synergy across LG affiliates and portfolio companies.

Q. [Corporate] Regarding the US tariff refund, any details on how much of the refund was reflected in 2Q?

A. The company followed the refund guidance provided by the US government. LGE received a full refund in 2Q26, and net of one-time expense was approximately W300bn. While tariff concerns remain in 2H26, LGE aims to reduce volatility by leveraging supply chain optimization and flexible pricing policies.

Q. [VS] Regarding LG Magna, any details on operating status in Mexico and Hungary? And outlook during market volatility?

A. LGE is seeking to expand its revenue base beyond the NA market and has been operating in the EU and Asia. The company has secured meaningful EV powertrain order wins from Asia and EU OEMs in 1H26. This allows LGE to diversify regional exposure and reduce heavy reliance on select companies. (1) Mexico – achieved stable operations since opening in 2023 and contributing to more than 40% of total sales; (2) Hungary – key hub for Europe localization efforts and anticipates MP in Jan-27. To address demand volatility, LGE is closely monitoring various external factors, like promotions and incentives.

Q. [ES] With high expectations for the AI datacenter chiller business, which regions are the primary target?

A. NA is the primary area for AI datacenter cooling business. IT capacity is expected to grow from 25GW in 2026 to 70GW in 2031, and more than 60% will be in NA. Hence, CSPs are the primary channel partners for chillers and liquid/cooling components. For Asia, the company seeks to expand customers by leveraging its existing track record and using the "One LG" strategy.

Q. [MS] The MS division delivered significant improvement, recording operating profit. What were the drivers to the improvement, and any guidance on outlook?

A. OP improvement was driven by a higher proportion of premium products and enhanced performance from overseas operations. In 2H26, management expects macro environment volatility and rising memory cost to affect profitability. In response, LGE will optimize strategic inventory and continue cost-efficiency initiatives. LGE expects a full year of operating profit. Over the mid- to long term, LGE aims to accelerate the growth of WebOS system and maintain a stable profitability trend.

Investment Thesis, Valuation and Risks

LG Electronics *(Neutral; Price Target: W190,000)*

Investment Thesis

We estimate that LGE's core NOPAT will grow at a double-digit rate throughout our forecast period, driven by stable profit improvement from core operations. However, new business initiatives are at an early stage, such that meaningful business transition is limited. Based on our mid-cycle valuation, we view the risk/reward as unfavorable at the current share price. We remain Neutral on the stock.

Valuation

Our Jun-27 PT of W190K valuation is based on 17x FY27E core NOPAT per share, in line to a mid-cycle valuation to reflect a growing AI DC grade chiller and cooling solutions business opportunity and core business cycle earnings normalization. On the other hand, we believe it is too early to give credit to the robotics business growth opportunity.

Risks to Rating and Price Target

Upside risks include: (1) stronger H&A margin expansion, driven by faster new business growth (e.g., Chiller, HVAC, and others); (2) Web OS customer diversification outside captive customers or faster end-market diversification into automotive customers; and (3) a recovery in the EV market and LGE's further vehicle-business design wins.

Downside risks include: (1) raw materials/logistics cost-related margin headwinds; (2) continued TV panel price strength resulting in further HE hardware profitability; and (3) further delays in the EV market recovery and slowing new order wins in the vehicle component business.

Jay Kwon [AC]
(82-2) 758-5725
jay.h.kwon@jpmorgan.com

Analyst Certification: The Research Analyst(s) denoted by an "AC" on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an "AC" on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst's personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst's compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst's analysis was made in good faith and that the views reflect the Research Analyst's own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to LG Electronics or related entities.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: LG Electronics or related entities.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: LG Electronics or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from LG Electronics or related entities.
- **Non-Investment Banking Compensation Received:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from LG Electronics or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of LG Electronics or related entities, if any.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting https://www.jpmm.com/research/disclosures, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Date	Rating	Price (W)	Price Target (W)
29-Aug-23	OW	99600	130,000
12-Jul-24	N	111000	120,000
25-Oct-24	N	97200	110,000
23-Jan-25	N	86400	95,000
24-Apr-25	N	71300	82,000
17-Aug-25	N	77200	80,000
04-Nov-25	N	88900	87,000
30-Apr-26	N	137400	145,000
02-Jul-26	N	192400	190,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 17, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:
J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over

the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, https://www.jpmorganmarkets.com.

Coverage Universe: Kwon, Jay : LG Corp (003550.KS), LG Display (034220.KS), LG Electronics (066570.KS), LG Innotek (011070.KS), Nanya Technology (2408.TW), SK Inc (034730.KS), SK hynix (000660.KS), SKC (011790.KS), Samsung C&T (028260.KS), Samsung Electro-Mechanics (009150.KS), Samsung Electronics (005930.KS), Samsung SDS (018260.KS)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

***Please note that the percentages may not add to 100% because of rounding.**
****Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.**
For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at http://www.jpmorganmarkets.com, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, http://www.jpmorganmarkets.com. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:
A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of http://www.jpmorganmarkets.com where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to UK MIFID Research Unbundling exemption for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see https://www.jpmorgan.com/disclosures/cryptoasset-disclosure.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit https://www.theocc.com/components/docs/riskstoc.pdf for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:
Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting https://www.jpmm.com/research/disclosures. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: J.P. Morgan Australia - Research Independence Policy.

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissao de Valores Mobiliarios (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai – 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number – INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: http://www.jpmipl.com. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasadh K, jpmipl.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit Terms and Conditions and Most Important Terms and Conditions (MITC). The annual Compliance audit report is available at http://www.jpmipl.com/#research.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumphini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPMML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: J.P. Morgan EMEA - Research Independence Policy.

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: https://www.jpmorgan.com/disclosures/email

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to msci.com/disclaimer

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at https://www.sustainalytics.com/legal-disclaimers. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised July 04, 2026.

Completed 31 Jul 2026 12:47 AM HKT   Disseminated 31 Jul 2026 12:47 AM HKT